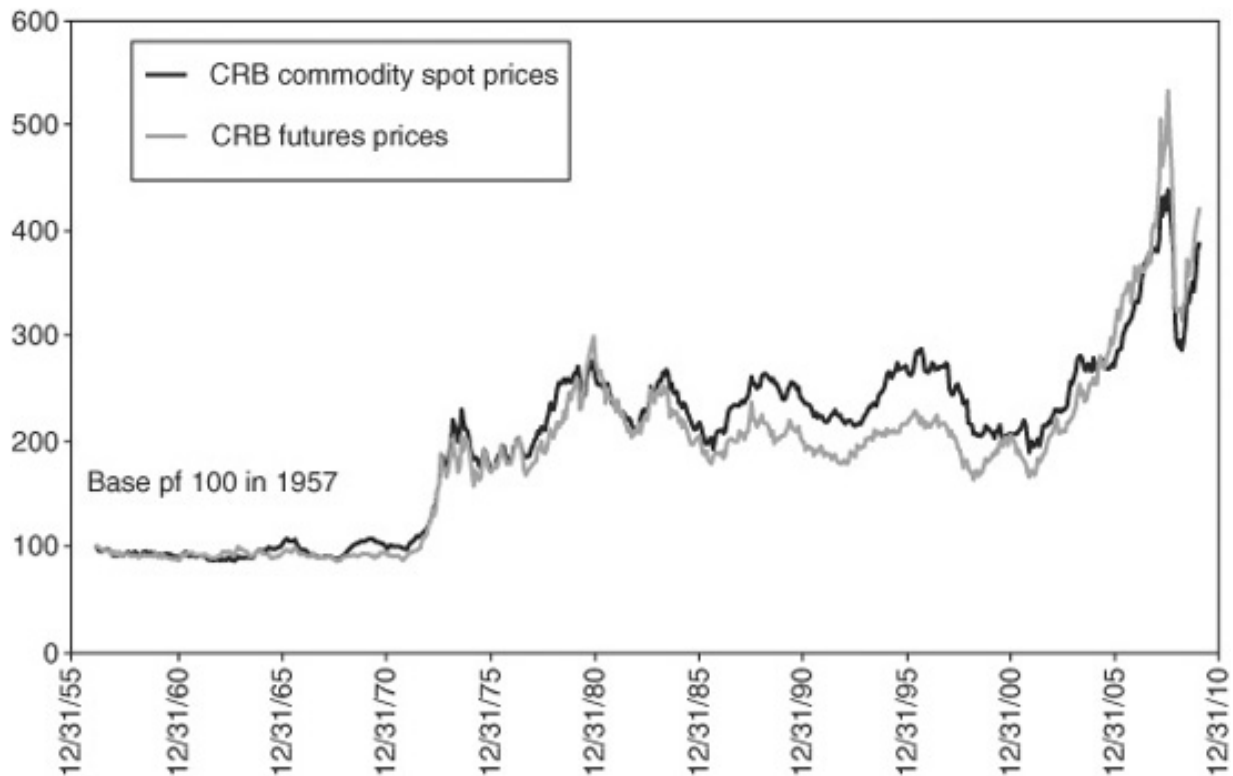




Commodities Total Return Indexes

The CRB Commodity Total Return Index in [Figure 10-5](#) takes some explaining. The index is designed to replicate the return on an investible basket of commodities which cannot be invested in directly. Therefore, the way the index is calculated combines the price movement of commodities and the difference in price between old futures contracts near expiration and new futures prices on the day contracts are rolled to the next month, plus the income from Treasury bills.

As you recall, margin is required to buy a futures contract. Margin is about 5 percent of the value of the commodities that the futures contract represents. For example, a futures contract for \$4,000 worth of gold for delivery in one month may require a 5 percent margin which is \$200, which gains money market interest. Assuming that you have \$4,000, this leaves \$3,800 in your account that can be invested in something else while you wait for delivery. The total return on your investment for one month equals the price change on the gold futures contract plus the interest on the other 95 percent that is sitting in your account. If you roll the contract to the next month, there will be another gain or loss based on the difference between near-term futures prices and one-month futures prices.